

FOUNDATIONS OF FINANCE (ECO 331)

(END TERM – MONSOON 2025)

	VARIANT A
Ques No	Answer
1	A = Rs.222,339
2	A = Rs.93,753
3	25%
4	Rs.7.31
5	2.25
6	20%
7	1500
8	12%
9	54,94,874
10	Rs. 22,250

Page | 1

PART B

1. Have-More Pizza's common stock currently sells for Rs.35.00 per share, the company expects to earn Rs.5 per share during the year, its expected payout ratio is 70%, and its return on equity is 20%. New stock can be sold to the public at the current price, but a flotation cost of 8% would be incurred.

a) Find the cost of retained earnings and the cost of new stock.

b) By how much would the cost of new stock exceed the cost of retained earnings?

(3, 1)

Cost of Retained earnings	16%
Cost of New Equity	16.87%
Difference	0.87%

Alternate answers (where different D1 has been taken)

Cost of Retained earnings	16.60%
Cost of New Equity	17.52%
Difference	0.92%

2. A company's WACC is 11% and its tax rate is 35%. The company's pre-tax cost of debt is 10% and its debt equity ratio is 0.6. The risk-free rate is 8% and the market risk premium is 7%. What is the beta value (β) of the company's equity? (4 marks)

$$WACC = k_d(1-T)w_d + k_e w_e \quad w_d = 0.6/1.6; w_e = 1/1.6 \quad k_d = 10\%, t = 0.35; WACC = 11\%$$

This gives $k_e = 13.70\%$

$K_e = r_f + \beta(r_m - r_f)$. This gives the value of **beta = 0.81**

k_e – 3 mark

β - 1 marks

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3. The following ratios are given for Sharp Shooters Corporation. Complete the statements that follow.
Show proper working

Net profit margin ratio	4%	Net Profit/sales
Current ratio	1.25	Current assets / current liabilities
Return on Total Equity or Net worth (equity + Reserves)	15.23%	Net Profit /Total equity
Total debt to total assets	0.4	(Long term + short term debt) / total assets
Inventory Turnover ratio	25	Sales / inventory

Page | 2

Income Statement (there are no other items)

Sales	2535.85
Cost of Goods sold	1587.94
Other operating expenses	700
Earnings before interest and taxes	247.86
Interest	45
Earnings before tax	202.86
Tax Provision (50%)	101.43
Earnings after tax (Net profit)	101.43

Balance Sheet (there are no other items)

Net Worth	666	Fixed Assets	930
Long term debt (15% interest)	300	Cash	18.57
Accounts payable	144	Receivables	60
		Inventory	101.43
		Total Current assets	180

(12)

$\frac{CA}{CL} = 1.25$	$\frac{180}{1.25} = 144 = CL = accts payable$
$\frac{Interest @15\%}{Long Term Debt} = 45$	$Long term debt = \frac{45}{0.15} = 300$
$\frac{Total Debt}{Total Assets} = 0.4$	$\frac{300 + 144}{TA} = 0.4; TA = 1110$
Fixed Assets = TA-CA	1110-180 = 930
Net Worth = TA-Total Debt	1110 – 300-144 = 666
$\frac{Net Profit}{Net worth} = 15.23\%$	Net Profit = 15.23% x 666 = 101.43

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Tax (50%)	101.43
EBT	$101.43 + 101.43 = 202.86$
EBIT = EBT + Interest	$202.86 + 45 = 247.86$
$\frac{\text{Net Profit}}{\text{Sales}} = 4\%$	$\text{Sales} = \frac{101.43}{4\%} = 2535.80$
$\frac{\text{sales}}{\text{inventory}} = 25$	Inventory = 101.43
Cash + Receivable + Inventory = 180	Cash + 60 + 101.43 = 180; Cash = 18.57
EBIT = Sales – COGS – operating expenses	$2535.80 - 247.86 - 700 = 1587.94$